

EPS-95 Higher Pension: How It's Actually Calculated

“Same Rules, Two Formulas, Two Very Different Pensions” — Understanding the Gap Between the 60-Month Average Method and EPFO's Proportionate (Split) Method

A guidance note for EPS-95 members considering the higher-pension option

Members who opted for the EPS-95 higher-pension option (following the Supreme Court's November 2022 ruling) often assume their pension will simply be their recent, higher salary multiplied across their whole career. In practice, EPFO applies a different, less generous approach for anyone whose service spans the wage-ceiling change of **1 September 2014** — and, as reported, its internal circular does not consistently apply either formula, but instead selects **whichever of the two calculations yields the lower pension** for that member. This note explains both methods side by side, with worked examples in both directions, so members can understand why their sanctioned pension may differ from what they expected — and why the outcome can feel inconsistent from one member to the next.

1. Why Two Methods Exist

The rules governing how “pensionable salary” is calculated under EPS-95 changed with effect from 1 September 2014: the averaging period moved from the **last 12 months** to the **last 60 months**, and the statutory wage ceiling moved from Rs. 6,500 to Rs. 15,000. For members whose entire pensionable service falls after that date, this creates no ambiguity. But for long-serving members whose career spans both the pre-2014 and post-2014 regimes — which is the case for most higher-pension applicants — there are two competing ways to apply the formula.

2. Two of EPFO's Own Documents in Tension: 1 June 2023 vs. 14 February 2024

Full copies of both source documents are reproduced at Annexure I and Annexure II at the end of this note.

This is the detail that many members find most troubling once they compare notes with each other — and it can now be shown directly from EPFO's own paperwork rather than press reports alone.

Circular dated 1 June 2023 (No. Pension/SC/HigherPension/2022/1357, issued by the Regional PF Commissioner-I (Pension) with the approval of the CPFC, referring back to an earlier circular No. Pension/SupremeCourtjudgement/POHW/2022/143 dated 9 May 2023) instructed, in plain terms:

“(i) Cases found eligible for pension on higher wages where date of commencement of pension is prior to 01.09.2014: Pension shall be calculated based on average monthly pay drawn during contributory period of service in the span of **12 months** preceding the date of exit from the membership of the pension fund. (ii) Cases found eligible for pension on higher wages where date of commencement of pension is **post 01.09.2014**: Pension shall be calculated based on average monthly pay drawn during contributory period of service in the span of **60 months** preceding the date of exit from the membership of the pension fund.”

Read plainly, this ties the method to the member's **date of commencement of pension**, not to a bifurcation of service into pre- and post-2014 blocks. For the great majority of higher-pension applicants — whose pension commences well after 1 September 2014 — this circular's plain text points to a single 60-month average applied to the case as a whole, with no mention of splitting service, and no mention of comparing that average against historical peak salaries.

An internal email dated 14 February 2024 (from Vertical-I Pension, EPFO Head Office, subject “Calculation of pension in Higher Wages Cases – Examples”, marked “For Internal Circulation Only”, referring to a separate 2014 circular — No. Actuarial/18(2)/2008/Vol.III/7738 dated 29.08.2014, which governs ordinary/non-higher-wage pensions) then set out a materially different computation for exactly the post-01.09.2014 cases the June 2023 circular had addressed:

“...in Higher Wages cases also, as per provisions of EPS, 1995, calculation shall be done similarly, where date of commencement is on and after 01.09.2014: (a) Calculation of Pension in Higher Wages Cases will be on **pro-rata**

basis... Pro-rata calculation will entail separate calculation for pensionable service prior to 01.09.2014 and pensionable service post 01.09.2014. (b) Calculation of Pensionable Salary in Higher Wages Cases: (i) For pensionable service prior to 01.09.2014: pro-rata pensionable salary i.e. highest monthly salary prior to 01.09.2014 **or** 60 months' average of salary preceding the date of exit, **whichever be less**. (ii) For pensionable service post 01.09.2014: pro-rata pensionable salary i.e. highest monthly salary post 01.09.2014 **or** 60 months' average of salary preceding the date of exit, **whichever be less**. (c) 2-year weightage, where due, is to be added to pensionable service prior to 01.09.2014."

In substance, the February 2024 note adds two things nowhere stated in the June 2023 circular: **(1)** mandatory bifurcation of pensionable service at 1 September 2014 even for cases where commencement of pension is after that date — precisely the cases the June 2023 circular had said should use a single 60-month figure; and **(2)** a “whichever is less” comparison, applied separately to each block, between the 60-month average and that block's own historical peak salary. That is a materially different — and typically less generous — computation than a plain 60-month average applied to the whole case. It is also worth noting that the June 2023 instruction was issued as a numbered, signed circular addressed to all Zonal/Regional offices, whereas the February 2024 note was circulated as an internal email marked for internal circulation only, without its own circular number.

What this means for your case specifically: the sequence of these two documents is itself worth raising with EPFO/RPFC in writing — ask specifically which of the two instructions (1 June 2023, or the 14 February 2024 internal note) was applied to your case, and on what authority the later note is said to override or “clarify” the earlier, numbered circular. This is precisely the kind of documentary basis a written representation or legal challenge would need.

3. EPFO's Own Worked Examples (Annexure-B to the 14 February 2024 Note)

The 14 February 2024 internal note came with its own worked examples, labelled “Annexure-B” in the original email itself (a full copy is reproduced at **Annexure II** to this note), summarised below. All three columns assume the same joining date, exit date, and service break-up; only the salary figures differ, to show how the “whichever is less” rule behaves in different circumstances.

Particular	Normal Case (up to wage ceiling)	Example I (Higher Wages)	Example II (Higher Wages)
Date of joining	01/09/1996	01/09/1996	01/09/1996
Date of exit	31/08/2023	31/08/2023	31/08/2023
2-year weightage admissible (service $\geq$ 20 years)	Yes	Yes	Yes
Pensionable service up to 31/08/2014 (incl. weightage)	7,300 days	7,300 days	7,300 days
Pensionable service from 01/09/2014	3,285 days	3,285 days	3,285 days
Pensionable salary (60-month average before exit)	Rs. 15,000	Rs. 18,000	Rs. 18,000
Highest salary, pre-01/09/2014 period	Rs. 6,500 (wage ceiling)	Rs. 11,000	Rs. 19,000
Highest salary, post-01/09/2014 period	Rs. 15,000 (wage ceiling)	Rs. 22,000	Rs. 18,000
Figure actually used per block (whichever is less)	6,500 and 15,000	11,000 and 18,000	18,000 and 18,000
Formula pension	Rs. 3,786	Rs. 5,457	Rs. 7,457

Example I shows a genuine divergence: the member's actual peak salary before September 2014 (Rs. 11,000) was lower than the 60-month average (Rs. 18,000), so the pre-2014 block is capped at the lower Rs. 11,000 — and even the post-2014 block, despite a much higher recorded peak of Rs. 22,000, is held down to the 60-month average of Rs. 18,000, again because that is the lower figure. Neither block gets the benefit of the member's

actual higher earnings.

Example II shows the case where the “whichever is less” rule happens to select the **same** figure (Rs. 18,000) for both blocks, because the member's peak salary in each sub-period was at or above the 60-month average. Mathematically, this is identical to simply applying the 60-month average to the member's **entire** pensionable service — exactly the “whichever is lower” coincidence described in Section 2. It is not that EPFO chose the simple method as a matter of policy in Example II; the bifurcated, lesser-of-two calculation simply landed on the same number for both blocks in this particular member's case.

4. The Two Methods, Side by Side

	Method 1: Simple (Undivided) 60-Month Average	Method 2: Proportionate (Split) Method — Used by EPFO
Basic idea	One average salary figure applied to the entire career, pre- and post-2014 alike.	Career is split into two blocks at 1 Sept 2014; each block uses its own salary figure.
Formula	(Average salary of last 60 months before exit × Total pensionable service) ÷ 70	Part A: (Avg. salary of last 12 months up to 31.8.2014 × Service up to 31.8.2014) ÷ 70 Part B: (Avg. salary of last 60 months before exit × Service from 1.9.2014 onward) ÷ 70 Total = Part A + Part B
Salary used for older years of service	Recent (usually much higher) last-drawn salary is applied even to decades-old service.	Older service is credited only at the salary level prevailing back in 2014 , not the recent higher salary.
General effect on pension amount	Tends to produce a higher sanctioned pension.	Tends to produce a meaningfully lower sanctioned pension for the same career.
Status	What most members expected based on the 2022 Supreme Court ruling; upheld by some High Court orders in specific cases.	The method EPFO has generally applied in practice via its computation circulars; contested and under litigation in various forums.

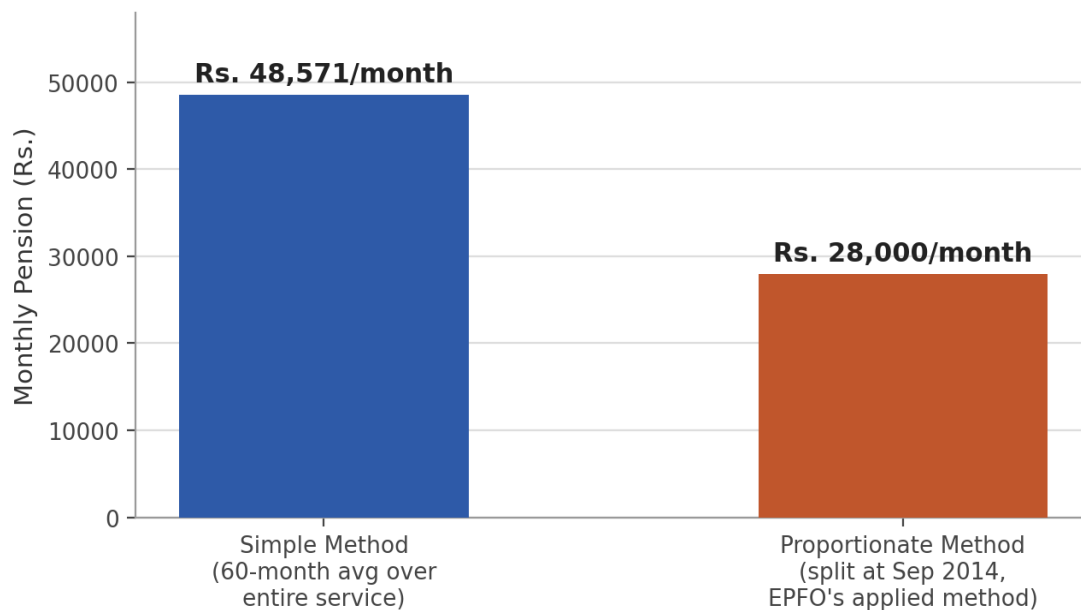
5. Worked Example (Illustrative Figures)

Assume a member joined service in 1990 and retired in 2024 — a total of **34 years** of pensionable service, split as 24 years before 1 September 2014 and 10 years from that date to retirement. Assume the average salary as of August 2014 was Rs. 40,000/month, and the average of the last 60 months' salary before retirement (2024) was Rs. 1,00,000/month.

Input	Value
Total pensionable service	34 years (24 pre-2014 + 10 post-2014)
Average salary as of Aug 2014 (used in split method, Part A)	Rs. 40,000 / month
Average of last 60 months' salary at retirement, 2024	Rs. 1,00,000 / month

Step	Simple (Undivided) Method	Proportionate (Split) Method
Formula applied	$(1,00,000 \times 34) \div 70$	Part A: $(40,000 \times 24) \div 70$ Part B: $(1,00,000 \times 10) \div 70$
Calculation	$34,00,000 \div 70$	Part A: $9,60,000 \div 70 = 13,714$ Part B: $10,00,000 \div 70 = 14,286$
Monthly pension	Rs. 48,571	Rs. 28,000 (13,714 + 14,286)

Illustrative Monthly Pension: Simple vs. Proportionate Method (34 years of service, retiring in 2024)



On these illustrative figures, the proportionate method yields roughly **Rs. 20,571 less per month (about 42% lower)** than the simple undivided method — on the exact same career, salary history, and contributions. This gap is the crux of why the calculation method matters so much to members, and why it has been repeatedly challenged before various High Courts.

6. A Reversed Scenario: Retiring Soon After the 2014 Transition

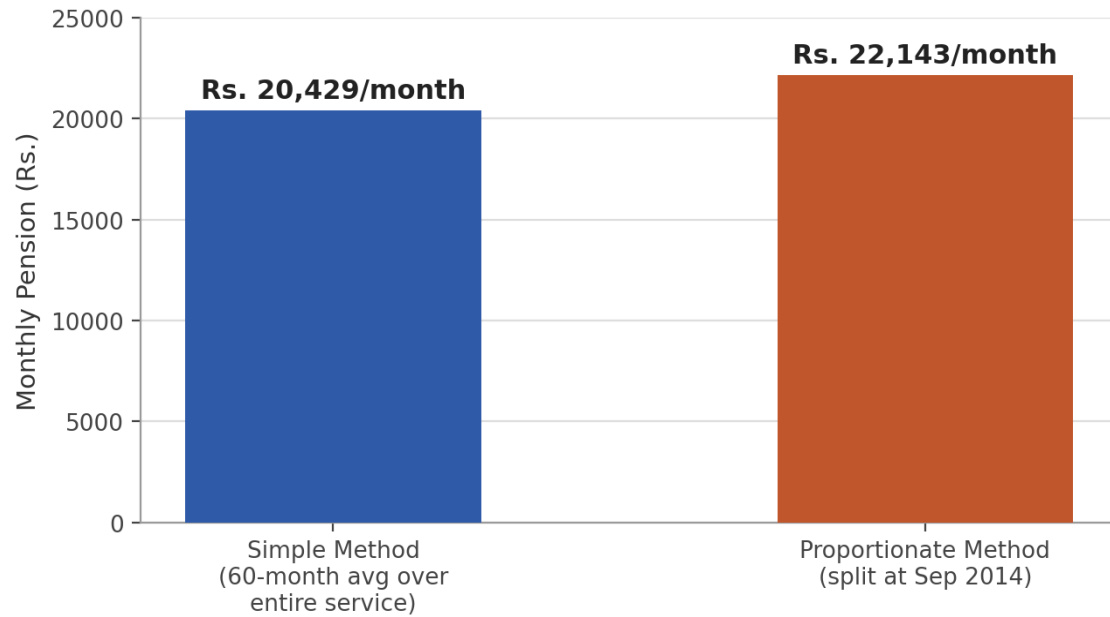
The examples above assume the common pattern — salary rising steadily, so the recent 60-month average is higher than the salary level back in 2014. But this doesn't always hold. Consider a member who reached age 58 (superannuation) in **July 2016** — barely two years after the 1 September 2014 transition. If that member had a significant raise or promotion shortly before August 2014, followed by flatter salary growth afterward, their **trailing 60-month average** (which blends in several older, lower-salary months) can actually work out **lower** than the specific average salary that prevailed as of August 2014.

In that situation, the usual assumption — that the simple undivided 60-month method is always the more favourable one for the member — no longer holds. Since most of this member's career falls in the pre-2014 block, applying the split method would let that larger block draw on the **higher** Aug-2014 figure, while only the small post-2014 tail uses the lower recent average. The result can be a **higher** pension under the split method than under the simple method — the opposite of what members typically expect and litigate for.

Input	Value
Date of birth / age 58 reached	7 July 2016
Total pensionable service	26 years (24 pre-2014 + 2 post-2014)
Average salary as of Aug 2014 (used in split method, Part A)	Rs. 60,000 / month
Average of last 60 months' salary before exit, July 2016	Rs. 55,000 / month (lower than the Aug-2014 figure)

Step	Simple (Undivided) Method	Proportionate (Split) Method
Formula applied	$(55,000 \times 26) \div 70$	Part A: $(60,000 \times 24) \div 70$ Part B: $(55,000 \times 2) \div 70$
Calculation	$14,30,000 \div 70$	Part A: $14,40,000 \div 70 = 20,571$ Part B: $1,10,000 \div 70 = 1,571$
Monthly pension	Rs. 20,429	Rs. 22,143 (20,571 + 1,571)

**Reversed Scenario: Retiree at Age 58 in July 2016
(60-month average lower than Aug-2014 salary)**



In this illustrative case, the **split method actually produces about Rs. 1,714 more per month** than the simple undivided method — the reverse of the usual pattern. Under the “whichever is lower” practice described in Section 2, this is exactly the scenario where EPFO’s logic would pick the **simple 60-month figure** (since it is the smaller number here), even though the split method would have paid more. The lesson: a member should not assume either method is automatically in their favour, and should not assume that EPFO applying the “simple” method is automatically the better outcome — it may simply be the lower one. If your circumstances resemble this — superannuation soon after 2014, and a 60-month trailing average that looks lower than your salary as of August 2014 — it is worth specifically asking EPFO/your RPFC office to show the computation **both ways** before concluding there is nothing to pursue.

7. A Real Case Illustration (Name and PPO/Member ID Withheld)

The following is a **live example** drawn from an actual EPFO higher-pension computation sheet furnished to a retired employee of **POWERGRID** (Power Grid Corporation of India), with the name, PPO number, member ID, and UAN masked to protect the individual's identity. It is included here because it shows, in a real case, exactly how large the gap between the two calculation approaches can be — and confirms that EPFO's own worksheets do use the split/proportionate method with a service-weightage addition, computed on a day-count basis rather than in whole years.

Particular	Value
Date of joining	30 July 1986
Date of exit from EPS-95 (used for computation)	5 June 2023
Past service up to 15 Nov 1995	8 years 11 months 16 days
Pensionable service up to 31 Aug 2014	6,796 days (~18.62 years)
Pensionable service 1 Sep 2014 to exit	3,199 days (~8.76 years)
Service weightage (bonus for 20+ years of service)	730 days (2 years)
Average monthly pay, last 60 months before exit	Rs. 1,52,636
EPFO's wage-ceiling figure for the pre-Sep-2014 period (higher-pension basis)	Rs. 76,558
Past Service Benefit under FPS-1971 (unaffected by the 60-month/split question)	Rs. 706 / month

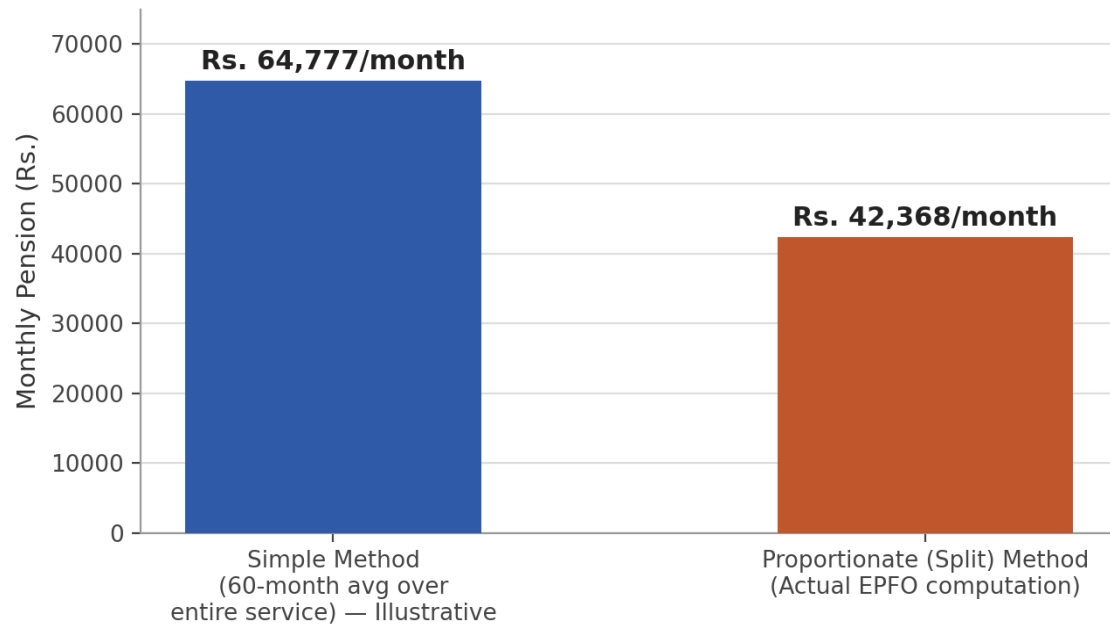
Method 2 — Proportionate (Split), as actually computed by EPFO:

Part A (pre-Sep-2014 block, including weightage): $[(6,796 + 730 \text{ days}) \times \text{Rs. } 76,558] + \text{Part B (post-Sep-2014 block): } [3,199 \text{ days} \times \text{Rs. } 1,52,636]$ — the sum divided by (70×365) :
= Rs. 41,662 (rounded) + Past Service Benefit Rs. 706 = **Rs. 42,368 per month** — this is the pension actually sanctioned in this case.

Method 1 — Simple (Undivided) 60-Month Average, recomputed here for comparison only:

If the same average monthly pay of Rs. 1,52,636 were instead applied to the member's **entire** pensionable service $(6,796 + 3,199 + 730 \text{ weightage days} = 10,725 \text{ days, } \sim 29.38 \text{ years})$ rather than splitting it at September 2014: $[10,725 \text{ days} \times \text{Rs. } 1,52,636] \div (70 \times 365)$:
= Rs. 64,071 (rounded) + Past Service Benefit Rs. 706 = **Rs. 64,777 per month** — this is illustrative only; EPFO did not apply this method in this case.

**Real Case (Anonymised): Joined 1986, Exited EPS June 2023
~29.4 years pensionable service (incl. weightage)**



In this real case, the simple undivided 60-month method would have produced roughly **Rs. 22,409 more per month (about 53% higher)** than the proportionate method EPFO actually applied. This is one of the starkest illustrations available of why the choice of method matters so much in practice — for a member with nearly three decades of pre-2014 service and a sharply higher final salary, the proportionate/split approach caps the benefit of that higher salary to only the final ~8.8 years, while the pre-2014 block (roughly 18.6 years) is confined to a fixed wage-ceiling figure of Rs. 76,558, regardless of how much higher the member's actual contributions or salary later became.

8. Key Takeaways for Members

- **EPFO's own documented practice (per its 14 February 2024 internal note) is to apply whichever of the two calculations gives the lower pension** — not to apply one formula consistently. This appears to go beyond, and in practice narrow, the plainer 60-month-average instruction in its own 1 June 2023 circular for cases commencing after 01.09.2014 (see Section 2). It is also not stated in the statutory EPS Rules themselves. Members should not assume there is a single, settled formula being applied uniformly, and should ask which of the two EPFO documents was actually used in their case.
- If your pensionable service began before 1 September 2014 and continued after it, ask EPFO/your RPFC office explicitly which method — and which circular/authority, including the specific date — has been used in your Pension Payment Order (PPO) calculation sheet.
- The gap between the two methods grows larger the more your salary has risen since 2014 and the longer your pre-2014 service was — so long-serving members are typically the most affected.
- **Which method is actually favourable to you depends on your own salary trajectory, not a fixed rule.** As Section 6 illustrates, members who superannuated soon after 2014 with a flatter post-2014 salary curve can find the split method more favourable, the opposite of the general pattern. Do not assume that EPFO having applied the "simple 60-month" method automatically means your case has no further question — under a "lowest of the two" practice, that may simply mean it was the smaller number.
- Several High Courts have, in specific cases, directed EPFO to apply the simple (undivided) 60-month average method instead of the proportionate split; however, this is not yet a uniform, nationwide settled position, and EPFO's own circulars on this point have been revised, and at least one withdrawn, more than once.
- Members who believe their pension may have been calculated using the less favourable of the two figures may consider filing a written representation with their Regional PF Commissioner requesting the computation both ways, or exploring legal remedy through the appropriate forum, ideally with the help of a professional familiar with current EPS higher-pension litigation in their jurisdiction.

Disclaimer: This note explains the general methodology found in EPFO's own circular dated 1 June 2023 (No. Pension/SC/HigherPension/2022/1357), its internal note dated 14 February 2024 (Vertical-I Pension, Head Office), press coverage, and public commentary on EPS-95 higher-pension computation — including the "whichever is lower" practice documented in the 14 February 2024 note — illustrated using both official worked examples and additional hypothetical figures for ease of understanding. It is not legal or financial advice, and does not reflect any specific individual's actual Pension Payment Order. The applicable method, circular basis, and figures can vary by case, have been revised more than once, and continue to be contested in various courts; please verify your own pension calculation directly with EPFO or a qualified professional before drawing conclusions or taking action. Prepared for A H Char, July 2026, for general guidance and circulation.

ANNEXURE I

EPFO Circular dated 1 June 2023

No. Pension/SC/HigherPension/2022/1357

Subject: Applications for Validation of Option / Joint Options —
Method of Computation of Pension

Issued by the Regional P.F. Commissioner-I (Pension), Head Office,
with the approval of the CPFC

Referred to in Section 2 of this note



कर्मचारी भविष्य निधि संगठन
EMPLOYEES' PROVIDENT FUND ORGANISATION
श्रम एवं रोजगार मंत्रालय, भारत सरकार
MINISTRY OF LABOUR & EMPLOYMENT, GOVERNMENT OF INDIA
मुख्य कार्यालय/Head Office
भविष्य निधि भवन, 14, भीकाजी कामा प्लेस, नई दिल्ली-110066
Bhavishya Nidhi Bhawan, 14, Bhikaiji Cama Place, New Delhi-110066
Website: www.epfindia.gov.in, www.epfindia.nic.in



No. Pension/SC/HigherPension/2022/1357

Date: - 01.06.2023

To,

All Addl. CPFCs, Zonal Offices.
All RPFCs / OICs, Regional Offices.

Sub: Applications for Validation of Option / Joint Options – Method of Computation of Pension - Reg

Madam/ Sir,

Please refer to the Circular No. Pension/SupremeCourtjudgement/POHW/2022/143 dated 09.05.2023 regarding "Deposit / Transfer of due contribution with interest into Pension Fund" wherein it was informed in Para 14 that the method of computation of Pension will follow through subsequent circular.

2. In this regard, the matter of method of computation of Pension has been considered and it is informed that, as for now, the computation of pension shall be in accordance with the provisions of Employees' Pension Scheme(EPS), 1995 as follows:-

- i. **Cases found eligible for pension on higher wages where date of commencement of pension is prior to 01.09.2014:** Pension shall be calculated based on average monthly pay drawn during contributory period of service in the **span of 12 months** preceding the date of exit from the membership of the pension fund.
- ii. **Cases found eligible for pension on higher wages where date of commencement of pension is post 01.09.2014:** Pension shall be calculated based on average monthly pay drawn during contributory period of service in the **span of 60 months** preceding the date of exit from the membership of the pension fund.

[This issues with the approval of CPFC.]

Yours faithfully,

Aprajita Jaggi
Regional P.F. Commissioner-I (Pension)

Copy to:-

1. All CBT members for kind information please.
2. PS to CPFC
3. Shri Samir kumar Das, Under Secretary to Government of India, Ministry of Labour and Employment for Kind information
4. FA & CAO, CVO, Director (PDNASS) & ZTIs
5. ACC (HQ) (Audit) for 100% audit of PPOs related to pension on higher wages by the internal audit parties.
6. All ACC (HQ)s and ACCs at H.O for information & necessary action.
7. Rajbhasha Section for providing Version in Hindi

ANNEXURE II

EPFO Internal Note dated 14 February 2024

Subject: Calculation of Pension in Higher Wages Cases — Examples

From: Vertical-I Pension, EPFO Head Office
(For Internal Circulation Only)

Includes the original worked examples (labelled “Annexure-B” in the
source email itself)

Referred to in Sections 2 and 3 of this note

From : Vertical I Pension <v1.eps@epfindia.gov.in>

Wed, Feb 14, 2024 03:20 PM

Subject : Calculation of pension in Higher Wages Cases - Examples

1 attachment

To : Addl CPFC UP BIHAR EPFO Ministry of Labour
<acc.upbh@epfindia.gov.in>, EPFO ZONAL OFFICE BANDRA
<acc.mhch@epfindia.gov.in>, ACC <acc.kargoa@epfindia.gov.in>,
Addl Central PF Commissioner Hubli Zone
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MOLE ND <acc.wb@epfindia.gov.in>, Addl CPFC DL UT
<acc.dlut@epfindia.gov.in>, Zonal Office Haryana
<acc.hr@epfindia.gov.in>, Zonal Office NER
<acc.ner@epfindia.gov.in>, ZONAL OFFICE BHOPAL
<acc.mpcg@epfindia.gov.in>, ACC Rajasthan
<acc.rj@epfindia.gov.in>, Zonal Office Kerala
<acc.ker@epfindia.gov.in>, Zonal Office Pune
<acc.pune@epfindia.gov.in>, Zonal Office BRJH
<acc.brjh@epfindia.gov.in>, Office of ACC Mumbai
<acc.mumbai1@epfindia.gov.in>, Addl CPFC Thane
<acc.thane@epfindia.gov.in>, Zonal Office Gujarat
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HYDERABAD <acc.ts@epfindia.gov.in>, ACCHQ CHPD
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Cc : Central PF Commissioner, EPFO <cpfc@epfindia.gov.in>, ACC HQ
Pension <acchq.pension@epfindia.gov.in>, Addl. CPFC
Pension, EPFO Ministry of Labour <acc.pension@epfindia.gov.in>,
RPFC Pension Head Office <rc.pension@epfindia.gov.in>,
Higherpension Wages <hrpenwgs.hopen@epfindia.gov.in>

For Internal Circulation Only

Madam / Sir,

Kind reference is invited on the above cited subject.

2. Requests have been received from various Zonal and Regional Offices to provide an example of calculation of pension on higher wages where date of commencement of pension is post 01.09.2014 i.e. pro-rata calculation is to be done.

3. Accordingly, it is once again clarified that as per provisions of EPS, 1995 pro-rata calculation is being done since 01.09.2014 in normal pension cases (please refer circular no. Actuarial/18(2)/2008/Vol.III/7738 dated 29.08.2014). Now, after implementation of judgement of Hon'ble Supreme Court, in eligible cases, the normal pension earlier given has to be enhanced to pension on higher wages. Since, there is no separate formula in EPS, 1995 for calculation of pension on higher wages in respect of ordinary EPS members, therefore in Higher Wages cases also as per provisions of EPS, 1995 calculation shall be done similarly, where date of commencement is on and after 01.09.2014:

a. Calculation of Pension in Higher Wages Cases will be on pro-rata basis as per provision of EPS, 1995:

Monthly Member's Pension = $\frac{\text{Pensionable salary} \times \text{Pensionable service}}{70}$

Pro-rata calculation will entail separate calculation for pensionable service prior to 01.09.2014 and pensionable service post 01.09.2014

b. Calculation of Pensionable Salary in Higher Wages Cases:

i. For pensionable service prior to 01.09.2014: Pro-rata pensionable salary i.e. highest monthly salary prior to 01.09.2014 or 60 Months average of salary preceding the date of exit from the membership of the Pension Fund, whichever be less.

ii. For pensionable service post 01.09.2014 : Pro-rata pensionable salary i.e. highest monthly salary post 01.09.2014 or 60 Months average of salary preceding the date of exit from the membership of the Pension Fund, whichever be less.

c. c. 2 year weightage, where due, is to be added to pensionable service prior to 01.09.2014 i.e. in b (i) above.

(Examples attached for ready reference)

[This is issued with the approval of CPFC]

With regards,

Vertical-1, S-2,

Pension Division,
Head Office

// Please quote the same Subject mentioned in the "Subject Column" of this email sent for easy tracking of mails//

— **Examples.pdf**
231 KB

EXAMPLES

	Example of Calculation of Pension (up to wage ceiling) that these members were receiving or were eligible to receive	Examples of Calculation of Pension on Higher Wages when a member becomes eligible for the same	
		I	II
Date of Joining	01/09/1996	01/09/1996	01/09/1996
Date of Exit	31/08/2023	31/08/2023	31/08/2023
2 year weightage benefit admissible (Pensionable Service >= 20 years)	Yes	Yes	Yes
Pensionable Service up to 31/08/2014 (IN DAYS)	18x365=6570	18x365=6570	18x365=6570
Total Pensionable Service up to 31/08/2014 (including 2 year weightage benefit if any) (IN DAYS)	6570+365x2= 7300	6570+365x2= 7300	6570+365x2= 7300
Pensionable Service from 01/09/2014 (IN DAYS)	9x365= 3285	9x365= 3285	9x365= 3285
Pensionable Salary (Average monthly pay drawn during contributory period of service in the span of 60 months preceding the date of exit from the membership of the fund) (in Rs)	15,000/-	18,000/-	18,000/-
Maximum Monthly wages taken for wage ceiling period pre 01.09.2014	6,500/- (Maximum wage ceiling)	11,000/- (Maximum Salary for pre 01.09.2014 period)	19,000/- (Maximum Salary for pre 01.09.2014 period)
Maximum Monthly Wages taken for wage ceiling period post 01.09.2014	15,000/- (Maximum wage ceiling)	22,000/- (Maximum Salary for post 01.09.2014 period)	22,000/- (Maximum Salary for post 01.09.2014 period)
Formula Pension	$\frac{(7300 \times 6500 + 3285 \times 15000)}{70 \times 365}$ = 3,786/-	$\frac{(7300 \times 11000 + 3285 \times 18000)}{70 \times 365}$ = 5,457/-	$\frac{(7300 \times 18000 + 3285 \times 18000)}{70 \times 365}$ = 7,457/-